CORPORATE POLICY REVIEW REPORT

A Review of the

CORPORATE GOVERNANCE & ETHICS POLICY

of

ADANI ENTERPRISES LIMITED

STUDENT NAME: PRAVEEN KUMAR B

REGISTER NUMBER: 5272510218

COURSE: B.COM (FINTECH WITH AI)

ACTIVITY TITLE: CORPORATE POLICY REVIEW REPORT

ORGANIZATION REVIEWED: ADANI ENTERPRISES LIMITED

POLICY NAME: CORPORATE GOVERNANCE & ETHICS POLICY

1. INTRODUCTION

Adani Enterprises Limited (AEL) is the flagship company and business incubator of the Adani Group, one of India's largest diversified business conglomerates. Listed on both the BSE and the National Stock Exchange, AEL has grown from a trading company into an incubator of new businesses, having nurtured ventures that later became independent, listed entities such as Adani Ports, Adani Power, Adani Transmission and Adani Green Energy. As a large, publicly listed flagship company, AEL is subject to extensive corporate governance obligations designed to protect the interests of shareholders, lenders and other stakeholders, and to ensure that the company is run in a transparent, accountable and ethical manner.

The policy selected for this review is AEL's Corporate Governance & Ethics framework, which in practice is made up of a set of interlinked board-level policies rather than a single document — principally the Code of Conduct for Directors and Senior Management, the Related Party Transaction (RPT) Policy, and the Whistle Blower Policy / Vigil Mechanism, all of which are published under AEL's investor relations and corporate governance disclosures as required under SEBI's Listing Obligations and Disclosure Requirements (LODR) Regulations, 2015. Together, these documents govern board oversight, transparency, accountability, and ethical conduct at the apex level of the company.

The purpose of this review is to examine AEL's Corporate Governance & Ethics framework as a case study in board-level governance — to understand how board oversight, transparency, related-party dealings, stakeholder interests and whistle-blowing are structured and regulated, how well this framework is designed, and where it could be strengthened. This is a structured, student-level analysis rather than a legal audit.

2. POLICY OVERVIEW

2.1 Name and Nature of the Policy

AEL's Corporate Governance & Ethics framework is a board-level governance architecture rather than a single behavioural code aimed at ordinary employees. It comprises, among others, the Code of Conduct for the Board of Directors and Senior Management Personnel, the Related Party Transaction Policy, and the Whistle Blower Policy (Vigil Mechanism).

These documents are formally adopted by AEL's Board of Directors and are reviewed and may be amended by the Board or the Audit Committee from time to time.

2.2 Scope of the Policy

The framework applies primarily to the Board of Directors (including the Chairman, Managing Director, Executive and Independent Directors) and Senior Management Personnel of AEL, and extends in relevant respects to employees and Directors across the Company for whistle-blowing purposes. The Related Party Transaction Policy specifically governs transactions between AEL (and, where relevant, its subsidiaries) and its Related Parties, as defined under the Companies Act, 2013 and SEBI LODR Regulations.

2.3 Stakeholders Covered

The framework most directly covers the Board of Directors and Senior Management, but its ultimate beneficiaries are AEL's shareholders, lenders, employees and the investing public, whose interests are protected through transparent board conduct, arm's-length related-party dealings, and a functioning channel to report unethical behaviour. The Audit Committee, Nomination & Remuneration Committee, and the Vigilance and Ethics Officer are the key internal governance actors named within this framework.

2.4 Key Objectives of the Policy

- To ensure the Board of Directors and Senior Management act with integrity, transparency and accountability in the conduct of the Company's affairs.
- To regulate transactions between the Company and its Related Parties so that they are conducted at arm's length and in the best interest of the Company and its shareholders.
- To provide a secure, confidential channel (the Vigil Mechanism / Whistle Blower Policy) through which Directors and employees can report suspected misconduct, fraud, or violations of the Code of Conduct.
- To comply with the board-governance, disclosure and related-party requirements set out under the Companies Act, 2013 and SEBI LODR Regulations, 2015.
- To maintain stakeholder trust and long-term enterprise value through sound, ethical corporate governance practice.

3. KEY PROVISIONS OF THE POLICY (FOCUS: BOARD RESPONSIBILITIES, TRANSPARENCY, ACCOUNTABILITY, RELATED-PARTY TRANSACTIONS, WHISTLE-BLOWER MECHANISMS, ETHICAL STANDARDS)

3.1 Board Composition and Responsibilities

AEL's Board comprises a mix of Promoter/Executive Directors (including the Chairman and Managing Director) and Independent Directors, supported by an Audit Committee and a Nomination & Remuneration Committee, among other Board committees. The presence of multiple Independent Directors on the Audit Committee — which is chaired by an Independent Director — is a structural safeguard intended to bring objective oversight to financial reporting, internal controls and related-party matters, consistent with the checks-and-balances principle at the heart of good governance.

3.2 Code of Conduct for Directors and Senior Management

AEL maintains a distinct Code of Conduct applicable specifically to the Board of Directors and Senior Management Personnel, separate from the general Employee Code of Conduct. This Code sets the ethical tone from the top of the organisation, reflecting the governance principle that ethical standards must be visibly upheld by leadership before they can be credibly expected of the wider workforce.

3.3 Related Party Transactions (RPT)

The Related Party Transaction Policy defines Related Parties, Associate Companies and Control in line with the Companies Act, 2013 and SEBI's Substantial Acquisition of Shares and Takeovers Regulations, 2011, and sets out the procedure for identifying, approving and disclosing such transactions. Under the policy, a transaction is treated as a 'Material Related Party Transaction' if, in the case of brand usage or royalty payments, it exceeds 5% of the Company's annual consolidated turnover, or, for any other transaction, if it exceeds Rs 1,000 crore or 10% of annual consolidated turnover, whichever is lower. Every related party transaction requires prior identification and approval through the Audit Committee, giving an independent body oversight over deals that could otherwise create a conflict of interest.

3.4 Whistle Blower Policy / Vigil Mechanism

AEL's Whistle Blower Policy establishes a Vigil Mechanism through which Directors and employees can report concerns about unethical behaviour, suspected fraud, or violations of the Code of Conduct, addressed to a designated Vigilance and Ethics Officer or, in exceptional cases, directly to the Chairperson of the Audit Committee. The policy provides safeguards against victimisation of genuine whistle-blowers and, notably, allows anonymous protected disclosures — the Vigilance and Ethics Officer is directed not to issue acknowledgements that could reveal a complainant's identity. At the same time, the policy makes clear that it cannot be used to raise malicious or unfounded allegations, and that employees who make bad-faith complaints are subject to disciplinary action.

3.5 Disclosure and Transparency Requirements

Under Regulations 46 and 62 of SEBI LODR, AEL is required to publicly disclose, on its investor relations webpage, a wide range of governance information — including board and committee composition, terms of appointment of Independent Directors, the Code of Conduct, the Whistle Blower Policy, the Related Party Transaction Policy, criteria for director remuneration, and grievance-redressal contact details for investors. This creates an ongoing, standing obligation of transparency rather than a one-time disclosure.

3.6 Rights and Responsibilities of Stakeholders

Directors and Senior Management carry the primary responsibility of upholding the Code of Conduct and ensuring related-party dealings are conducted transparently and at arm's length. Employees and Directors have the right to raise concerns through the Vigil Mechanism without fear of retaliation, and shareholders have the right to access governance disclosures and to have related-party transactions independently reviewed by the Audit Committee before approval.

4. COMPLIANCE AND GOVERNANCE ANALYSIS

AEL's Corporate Governance & Ethics framework is built directly on India's principal corporate governance statutes and regulations. The Companies Act, 2013 lays down the statutory basis for board composition, Audit Committee constitution, related-party transaction approval, and the vigil mechanism requirement under Section 177 for listed companies.

SEBI's Listing Obligations and Disclosure Requirements (LODR) Regulations, 2015 add detailed, listed-company-specific obligations — Regulation 23 governs related-party transaction approval and materiality thresholds, Regulation 4(2)(d) mandates an effective whistle-blower mechanism, and Regulations 46 and 62 prescribe the specific governance information that must be published on the company's website.

The RPT Policy's materiality thresholds (5% of turnover for brand/royalty payments; the lower of Rs 1,000 crore or 10% of turnover for other transactions) directly track the amended SEBI LODR framework following the Sixth Amendment of November 2021, showing that AEL's policy has been actively updated to remain compliant with regulatory changes rather than left static. Similarly, the Whistle Blower Policy's structure — a Vigilance and Ethics Officer, protected disclosures, and direct escalation to the Audit Committee Chairperson — mirrors the vigil-mechanism requirements under both the Companies Act and SEBI LODR.

From a governance-mechanism standpoint, the Audit Committee functions as the central oversight body tying these policies together: it reviews and can amend the RPT Policy, approves related-party transactions, and receives escalated whistle-blower disclosures. This concentration of oversight in a committee composed of, and chaired by, Independent Directors is consistent with the broader governance principle that related-party and ethics matters should be reviewed by directors without a personal stake in the outcome.

5. POLICY EVALUATION

5.1 Strengths

- A clear, multi-document governance architecture (Code of Conduct, RPT Policy, Whistle Blower Policy) rather than a single vague governance statement, giving each concern its own detailed procedure.

- Specific, quantified materiality thresholds for related-party transactions, removing ambiguity about when Audit Committee approval is triggered.

- An Audit Committee composed of, and chaired by, Independent Directors, providing structural independence in reviewing related-party dealings and whistle-blower escalations.

- A whistle-blower mechanism that protects anonymity by design (no acknowledgment that could reveal identity) while still building in safeguards against malicious complaints.

- Comprehensive public disclosure of governance documents and board/committee composition on the investor relations website, in line with SEBI LODR Regulations 46 and 62.

5.2 Effectiveness and Practicality of Implementation

AEL's governance documents show clear evidence of being kept current — the RPT Policy was updated to reflect SEBI's Sixth Amendment to the LODR Regulations effective April 2022 — which suggests active, ongoing compliance management rather than a policy left unrevised for years. AEL's own secretarial compliance disclosures also confirm that prior Audit Committee approval was obtained for related-party transactions and that Board, Independent Director and Committee performance evaluations were conducted at the start of the financial year, both of which are positive indicators of practical implementation, not just paper policy.

That said, effectiveness ultimately depends on matters that public disclosures do not fully reveal — for instance, the substantive independence of decision-making within the Audit Committee, given that Adani Group companies have faced public scrutiny in the past over related-party and governance concerns, and whether whistle-blower complaints are genuinely investigated without bias toward senior management or promoter-linked matters.

5.3 Gaps, Limitations and Areas Requiring Improvement

- The publicly available disclosures do not report aggregate data on whistle-blower complaints received, investigated or substantiated in a given year, unlike the customer/stakeholder grievance data AEL does publish in its BRSR filing — this asymmetry limits external assessment of how actively the Vigil Mechanism is actually used.

- Related-party transaction disclosures, while compliant with SEBI thresholds, are not always accompanied by plain-language explanations of business rationale that would help ordinary retail shareholders assess fairness, beyond the technical materiality figures.

- The Whistle Blower Policy does not appear to publish defined investigation timelines, leaving the pace of resolution to internal discretion.

- Given AEL's position within a large, promoter-controlled conglomerate with extensive intra-group dealings, the framework would benefit from more visible, case-level transparency on how borderline or high-value related-party transactions are evaluated, beyond simply meeting the minimum disclosure threshold.

5.4 Comparison with Good Corporate Practice

Compared with governance frameworks at other large Indian corporates such as Tata Sons group companies or Infosys, AEL's governance documents cover the same core building blocks — Code of Conduct, RPT Policy, Whistle Blower Policy — and are similarly structured around SEBI LODR and Companies Act requirements. Some peer companies go further by publishing annual whistle-blower statistics, more detailed related-party transaction rationale in their Annual Reports, and dedicated Corporate Social Responsibility and ESG committees with independent oversight; incorporating similar practices would bring AEL's public governance transparency closer to best-in-class benchmarks.

6. BUSINESS RELEVANCE

For a large, listed flagship company operating across critical infrastructure sectors, strong corporate governance is central to investor confidence, cost of capital, and regulatory standing. AEL, as part of a business group that has previously faced intense public and market scrutiny over governance and related-party concerns, has a particularly strong commercial incentive to demonstrate credible board oversight, transparent related-party dealing, and functioning whistle-blower channels — weaknesses in any of these areas can directly affect share price, credit ratings, and access to capital markets.

For shareholders and lenders, the RPT Policy's approval and materiality-threshold structure offers protection against promoter or management self-dealing at the expense of minority shareholders. For employees and Directors, the Whistle Blower Policy provides a legitimate channel to flag ethical concerns without fear of retaliation, which supports an internal culture of accountability. For the wider investing public and regulators, comprehensive disclosure under SEBI LODR builds the transparency that listed-market participation depends on.

More broadly, this governance framework is central to AEL's risk-management architecture: independent Audit Committee oversight of related-party transactions reduces the risk of value leakage or conflicts of interest, while the whistle-blower mechanism functions as an early-warning system for misconduct before it escalates into regulatory action or reputational crisis. In an environment of heightened regulatory and market attention on large conglomerates, credible governance is not a peripheral compliance function but a core determinant of AEL's long-term ability to raise capital and sustain stakeholder trust.

7. RECOMMENDATIONS

- Publish annual aggregate whistle-blower statistics (number of protected disclosures received, investigated, substantiated and closed) alongside the existing customer-grievance disclosures, to make the Vigil Mechanism's real-world usage independently verifiable.

- Introduce and disclose defined investigation and resolution timelines for whistle-blower complaints, to build measurable accountability into the mechanism.

- Provide more detailed, plain-language business-rationale disclosures for material related-party transactions in the Annual Report, beyond the bare materiality-threshold figures, to help retail shareholders assess fairness.

- Periodically commission an external, independent review of Audit Committee decision-making on related-party matters, and disclose a summary of the findings, to reinforce the credibility of independent oversight.

- Strengthen board-level ESG and ethics oversight by considering a dedicated committee (or expanded Audit Committee mandate) specifically tasked with monitoring ethics-policy effectiveness across AEL's diverse and fast-growing business portfolio.

- Mandate periodic refresher training for Directors and Senior Management on the Code of Conduct and RPT Policy, with structured, scenario-based case discussions rather than passive policy circulation.

8. CONCLUSION

AEL's Corporate Governance & Ethics framework — comprising its Code of Conduct for Directors and Senior Management, Related Party Transaction Policy, and Whistle Blower Policy / Vigil Mechanism — is a reasonably comprehensive and actively maintained governance architecture that is closely aligned with the Companies Act, 2013 and SEBI's Listing Obligations and Disclosure Requirements Regulations, 2015. Structural safeguards such as an Independent-Director-led Audit Committee, quantified related-party materiality thresholds, and an anonymity-protecting whistle-blower channel reflect genuine governance design rather than box-ticking compliance.

At the same time, the framework would be strengthened by greater public transparency around whistle-blower usage and outcomes, more detailed related-party transaction rationale, and defined resolution timelines — improvements that would matter particularly for a group that operates under close public and regulatory scrutiny. This review highlights a broader lesson relevant to any business or fintech student: strong corporate governance is not just about having the right policies on paper, but about how transparently their outcomes are disclosed and how independently their oversight mechanisms function in practice — this is ultimately what determines whether a governance framework earns, and keeps, stakeholder trust.

9. REFERENCES

1. Adani Enterprises Limited, "Related Party Transaction Policy," official policy document, available at: www.adanienterprises.com (Investors / Corporate Governance / Policies).

2. Adani Enterprises Limited, "Whistle Blower Policy," official policy document, available at: www.adanienterprises.com (Investors / Corporate Governance / Policies).

3. Adani Enterprises Limited, Disclosures under Regulation 46 and Regulation 62 of SEBI LODR Regulations, available at: www.adanienterprises.com/investors

4. Adani Enterprises Limited, Corporate Information and Board/Committee composition, Integrated Annual Report 2024-25, available at: connect.adani.com

5. Companies Act, 2013, Government of India — provisions on Board governance, Audit Committee, Related Party Transactions (Section 188) and Vigil Mechanism (Section 177).

6. Securities and Exchange Board of India (SEBI) (Listing Obligations and Disclosure Requirements) Regulations, 2015, including the Sixth Amendment, 2021.

7. SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 — referenced for the definition of "Control" under the RPT Policy.

8. Adani Group, official corporate website — Governance Framework section: www.adani.com/sustainability/governance/governance-framework